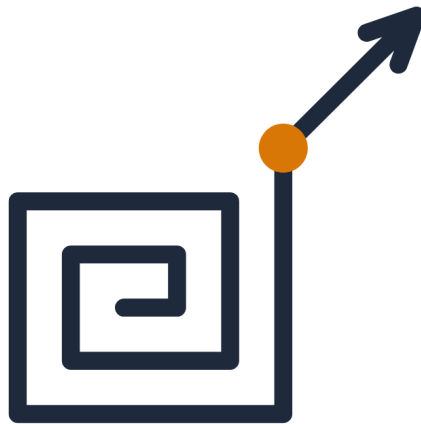


Week Zero Reflections



Advice is for ... well, the price is low. Swallowing that salt grain, consider NOW, just minutes into your college careers, the kind of person you want to be, the kind of employment/output you wish to be involved in, and what role you will play in the world as you age.

You have the privilege of youth to do this. Every one of us was in your situation, with time as cheap as gasoline, assuming we'd just "figure it out." Well, no one figures it out for us in any way that we would find acceptable, and, well, you are always just going to be figuring it out. So how do we muddle along and find our way in 2026?

Read and think on. Everything below is really asking one question: What are you going to do with the extraordinary abundance, freedom, and capability that economic progress has handed you? And what do we owe each other as members of civil society?

Economics and Life

DORM ROOM BULL SESSION Material for Your First Weekend(s) of College (also useful big picture final exam study material)

It is too easy to gaze up at the stars and nebulae, or sail alone for days on an open ocean, or hike for months on a mountain ridge, and marvel at our tinytiness amongst the vastness of it all. What is the meaning of it all? What is the meaning of life, and so on.

It is less easy to do it in an economic sense.

- When I was born, a typical American had access to 2.5x fewer goods and services than you do today (it is actually more dramatic than that, but we

shall save that for a later lecture).

- If you took today's technology, capital, organization, and productivity, and asked workers to only make the stuff we were used to in 1974 ... we would only "need" about 60 million workers.

Sooooo?

- There are roughly 160 million total Americans working right now
- There are roughly 340 million Americans
- Sooooo ... we wouldn't "need" 100 million workers out of the 160 million

Or to put it another way, to provide for the material comforts of the entire 340 million of us, we would only "need" 60 million people. What would the other 82% of Americans be doing? It takes well less than 40 labor-hours to do today what took 100 labor-hours when I was born.

This year we celebrate America's 250th birthday!

And to produce the living standards that the founding generation "enjoyed", which was materially at *least* 30 **times** worse/more deprived than we enjoy today, we would *only need 5 million workers*.

- Basically, all we would need is the adult working population of New York to ensure the comfort of all 340 million Americans.
- And note that while poor by our standards, a typical family in 1776 America was not considered poor by the standards of the day – the US in its infancy was already one of the richest places on earth, and per capita purchasing power in the US probably exceeded that of the UK.

Are 157 million of today's 162 million person workforce *unnecessary*? What of the other 180 million non-workers? What have "we done" with the last 250 years of progress? Sure, we invented entirely new things we wanted, to make, to learn, to experience.

But pondering the meaning of life in this realm, and what you are “worth” in this realm, is far more demanding than gazing in awe at the stars and planets. **Where do we find meaning when we are “unnecessary” to keep other humans comfortable and healthy and alive and living well?**

I have long said that there are no limits to human felicity, and that we need not “worry” about what a world of abundance means for finding usefulness and meaning. Looking backward the case is perhaps easier to make than looking forward. With our “extra, useless” 100 million workers, we have developed unconscionably incredible medical technologies, fantastic sports and entertainment, larger more enjoyable and safe houses, a cleaner environment, pet care, video games, EWOT courses, YouTube videos, and so much more. We don’t just become more productive to ease our burdens, we become more productive to be able to free ourselves to deliver new wants and new forms of spending our time that we could not have ever imagined in the past.

Can it go on? Or at some point do “we” just declare victory, send everyone home, and plug us all into the Experience Machine?

If you would have asked a farmer in the year 1800, what would happen if farm employment fell from 70% of workers to less than 2%, they would argue we would all starve. If you would ask a farmer in 1960 what would the world look like if we grew triple the amount of food on *less land* than we used in 1960, they would say you were taking mushrooms. But both happened. We are much better fed and nourished, and we are not experiencing 68% unemployment.

And there is little reason to believe that such things will not continue well into the future. If productivity grows at a “slow” 1.5% per year for the next 50 years, which is not science fiction (in fact it is slower than we have seen in last 50 years), then to produce our 1974 standard of living would require less than 1/5th of today’s labor force. Given this:

Why Are You Necessary? What is Your Why? What Do You Want? And Why is Developing Meaning and a Value System Perhaps More Important When Very Few of Us Are “Necessary?”

These are not questions economics can answer. Economics does, however, set the stage for your own play.

Ancient philosophers have begged humanity to look beyond the self! To live virtuous is not merely to cultivate one's own garden, but to share those gifts with others, to enable others to cultivate their gardens, and minimize our infringements upon the mental and physical liberty of others.

In other words, **What are our CIVIC responsibilities? What does it mean to be a FREE CITIZEN OF CIVILIZED SOCIETY?**

What do we owe one another? What do we owe the institutions, norms, and ideas that helped make this extraordinary abundance and freedom possible?

Liberty is not simply something we inherit and consume. How do we produce it, promote it, protect it, and pass it on? What responsibilities come with living in a society whose founding ideas hold individual liberty and self-government so precious?

And what happens when our individual incentives point one way, but our responsibilities to one another, our institutions, or our principles point another?

Read on to think more about it ...

Taking the FREAK Out of Freakonomics

We are going to talk about incentives, from the very first second of the class on Monday, right through the end of it during the holidays. But what often gets deeply lost in a standard treatment of incentives, is that incentives are not the only thing, or perhaps the most important thing.

Adam Mastroiani guides us:

STUDENT: “Hey Prof Rizzo, why do you think that bad thing happened?”

ME: Aha my boy, it’s all incentives you see. We set up rewards for the bad thing, and since people are encouraged to do them, they do them.

STUDENT: “Well, when I was a kid, stealing from the local candy store was desirable, I would have been handsomely rewarded for having my hands in the cookie jar, but I managed not to.”

BUT ... SHOULD Incentives always be obeyed? Is it noble to do so?

“How could you be expected to break a rule, forego a promotion, or give up a decimal of your grade point average, for the sake of—what? Doing the right thing?”

WHAT’S YOUR WHY?

A critical part of human development—in fact, the most *human* part of human development—is to acquire a purpose. That means refining your sense of right and wrong and figuring out how you, personally, can increase the right and decrease the wrong.

- Once your neural tube has ballooned into a brain, once you can poop without issue, conjugate irregular verbs, and feed yourself solid foods, you ought to ask yourself, “Why am I doing these things?” What’s it all for? How can I make myself useful?

It’s fine if you’re still working on your answers to those questions. It’s fine—and good!—if you have multiple answers, or if your answers change over time.

- But it's *not* fine to pass on the questions entirely.
- We owe these answers to each other, and we owe them to ourselves, because a sense of purpose is both prosocial and protective.
- If you have a void where your moral convictions should be, then that cavity of your personality will get filled up with tumorous desires—for money, power, fame, status. This is the kind of person who “responds to incentives.”

BOX CHECKERS EXTRAORDINAIRE

It took me a long time to understand this. In my early 20s, when I was at the bottom of every ladder that I aspired to ascend, I assumed the people at the top of those ladders must be pretty great. How wise these incentive-maxxers must be, how cool and smart, to have the things that everybody else wants!

But over the years, as I had the opportunity to meet some of these captains of industry, these Grand Pooh-Bahs and Distinguished Scholars, I've realized how wrong I was. They only seemed enviable because I was looking at them from a distance, so all I could see was what they *had*. Up close, when you can see what they *are*, it becomes clear that only a few of these ladder-toppers are indeed wise and cool. **More often, they're sniveling little twerps. They're spiritually chinless. They have no convictions, no passions, no purpose other than ladder-climbing. It's sad to watch them, these people who have everything except the one thing that actually matters.**

- Often, these are the people who are most insistent that the incentives ought to be obeyed.
- They are quick to swear that good grades, cash, prestige, etc. are inherently valuable, or that they are useful proxies for value.
- The incentive-obsessives feel this way because they have to. Like the government of a failing nation, they must swear that their currency is real, and they must lash out at anyone attempting to participate in an alternative economy, lest the whole fraud come crashing down upon itself.

So when thinking about any human ability, it's useful to ask: is this more like speaking (that we naturally acquire), or is it more like reading (which takes a lot of training)? Is this an ancient capability that we get for free just by living long enough, or is this a modern skill that you can't get without working for it?

Rumination Inspiration

Our value systems are flimsy for the same reason our scientific reasoning is flimsy: **we don't fix our mental models until something tells us that they're broken.**

- So unless your pastor is popping quizzes during the sermon and cold-calling people in the pews, and unless you find yourself thrust into various Trolley Problems on a regular basis, there's nothing that tells you that you need to firm up your moral and theological convictions.
- Why spend your days wondering about right and wrong, good and evil, sacred and profane, etc. when you don't have to?

This could explain why our sense of right and wrong is so easily overwritten by any half-decent system of rewards and punishments: we just don't have much written there in the first place.

(and the point about incentives in class is that they can TILT decisions, not that we HAVE to obey them. One way to think about it is this – just because I put a stupendously huge pile of Reeses Peanut Butter Cups in front of you, while surely lowering the cost of eating them, and making it easier to eat them, does NOT mean you SHOULD or WILL actually eat all of them – if you understand this you will understand the mystery of financial crises and investment bubbles).

How Do We Find Our Values?

So how does anyone ever develop a value system that's more than a few bullet points?

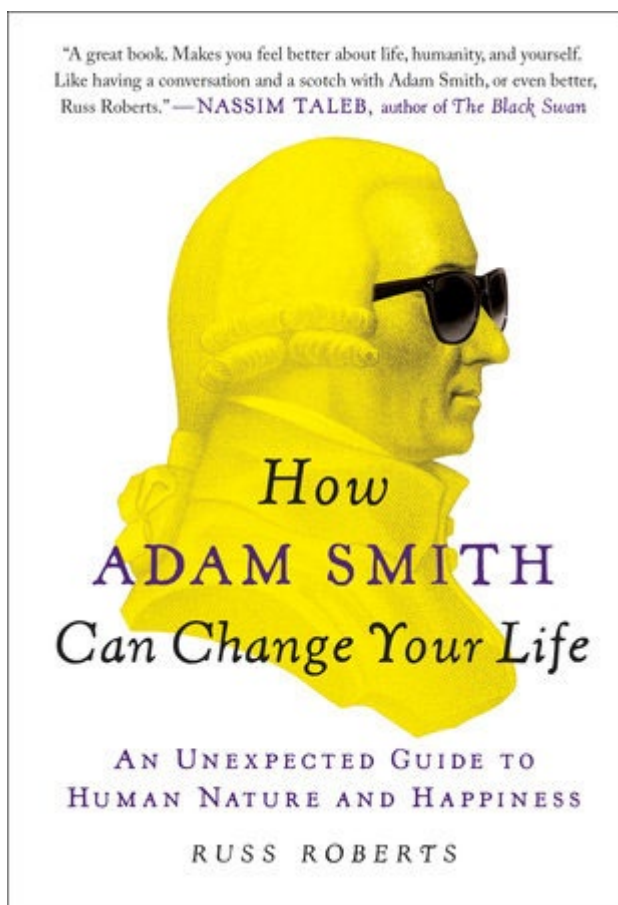
When I meet someone of uncommon integrity, someone willing to defy the incentives at any cost, I find they almost always have seen the fish—big, hulking fish, far larger than any I've ever encountered. They have undergone some kind of moral reckoning that undid their illusion of philosophical depth and gave them the chance to forge their own values. They're the kind of person who could go to the gallows with a witticism on their lips, the opposite of a loser.

So we should try to get our incentives right, but also—incentives be damned, *do the right thing*. If we seek an end to our permanent problems, we must cultivate in ourselves the same three things Charles Sumner [said](#) we should look for in a leader: “The first is backbone, the second is backbone and the third is backbone.”

And you know a PHENOMENAL PLACE TO START WITH THIS EXPLORATION?

That’s right, the “Father of Modern Economics”, Adam Smith ... but not in his *Wealth of Nations*, but rather its moral precursor, *The Theory of Moral Sentiments*.

<https://www.penguinrandomhouse.com/books/315210/how-adam-smith-can-change-your-life-by-russ-roberts/>



[And here is the OG work:](#)

The Theory of Moral Sentiments; or, An Essay towards an Analysis of the Principles by which Men naturally judge concerning the Conduct and Character, first of their Neighbours, and afterwards of themselves. To which is added, A Dissertation on the Origins of Languages. New Edition. With a biographical and critical Memoir of the Author, by Dugald Stewart (London: Henry G. Bohn, 1853).

Now Some Practical Advice

I actually think it is hard to think independently about the kind of person you want to be, and “what I will do when I grow up?” but I will try to start with some career and educational advice.

What are the five most important problems the world/nation/state/area/community you want to be a part of is struggling with? Figure these out and ask yourself, “how do I work on those problems?” recognizing that there are hundreds of ways to get involved on any problem. Secondly, if you are not working toward working on those problems, and working on them now, “why not?”

Learn to Learn and Be Adaptable. By now you recognize that the technological world, the political world, the environmental world, the economic world, etc. is changing at clips unprecedented in human history. And with 8 billion people fighting, sharing, struggling, creating, the prospects for any of that slowing down are slim. So, how do you prepare yourselves for a changing world? What skills will be rendered obsolete in the future and do you want to train yourselves now to be expert at those? What skills and attributes and attitudes will become more important and hard to export away or innovate away, and become superpowers when coupled with trade, communication and AI? You are studying in the Liberal Arts tradition for a reason.

Learn to Eat the Crud. It’s an expression I use for humorous historical reasons, but it means that none of us are entitled to anything, regardless of our station. And there is a degree of crud-eating that is good for your soul, is required for advancement, and teaches you. Not all crud is created equally of course, so some crud is better worth eating than others.

Crud aside, it’s never too early to just do. DO THINGS. Keep moving. And tick off the tasks that will enable you to do more things in the future. You are not too young to start a project, do research, and much more. There is obviously an amount of planning that we all need to do, but we can plan ourselves to the grave. Be active, be productive. To do things is to do **productive** things. You will know it when you are doing it.

Explain Yourself. It's fine to be colorful and descriptive, but explain what you are talking about with clear chains of logic that can be confirmed, denied, corroborated, etc. A skill a lot of my students struggled with in recent years is simply explaining what they mean, and providing context. This takes practice.

Read.

Act in Good Faith.

Realize You Can Push Yourself More Than You Thought Possible.

Earn Your Rest and Leisure. Set a schedule. Work extremely hard. And then your moments for music, napping, special meals, enjoying entertainment, and friends, are much much much richer. Earn your rest and leisure.

Do Not Take a Forklift to the Gym. You may be asking yourself WHY you are writing so many "irrelevant" things, why you are reading so many "boring" things, why you are studying things that are not what you will be working on. A true flexible valuable liberal arts education is no different than stretching, jogging, sprinting, yoga, cycling, running, lifting, circuit training. Some of that stuff is ipso facto enjoyable, distracting, etc. But a lot of it is costly, torturous. But you all know it serves incredibly important goals. Your education is your mental gym workout. And the exciting part is that the "gym" is not some stale, hospital-lit, uber competitive soulless square box of a room you had to exercise in, but rather a choose your own adventure. There is every possible resource at your disposal at a modern university to become a world class mental athlete, it's simply a question of whether you WANT to become one. Not everyone needs to be one, or wants to be one, or is capable of being one – but THIS IS WHAT WE ARE ABOUT. This is not job skills training. This is not everyone takes a fun ride. This is about slamming and shaping and honing our minds to become productive and useful citizens, to live the life of the mind, to innovate and grow.

AI, Alignment Challenges, Your Future

Above we discussed working and thinking in the areas that are MOST important. The term “AI” has lots of meaning, but here for your consideration is Mark Zuckerberg’s piece on AI alignment, finding meaning in a future where intelligence is everywhere and cheap. There is lots missing in this piece, so consider it a spark for discussion, not a statement to be absorbed. I think one of the things we lose perspective on as we discuss AI is to constantly be thinking, “where are the bottlenecks?” and “where is the proverbial O-ring?” For an older example, I suspect our computers are 1,000,000x more powerful and fast today than they were in 1980. But no one is a million times more productive.

We are likely to encounter this essay later in the class, again, if you need late night new to college Dorm Room Bull Session material, this would be a great place to start.

The Future is for Everyone

The Path to a Positive AI Future

<https://www.meta.com/thefutureisforeveryone/?srltid=AfmBOoqFMHmOwMidgzWgwNfGn6zxSgbl1Gs9mbBrZi-nMJ-bkoGkaPts>